

The Alchemy of Value: Engineering Perception in an AI World

A Seminar Reflection on Rory Sutherland

As technical students, we often operate under a tacit assumption: reality is objective, and our job is to optimize it. We obsess over speed, data, and efficiency. However, Rory Sutherland's conversation with Steven Bartlett serves as a necessary provocation. It suggests that while we are busy building technology, we often neglect the "software" that processes the experience: the human mind.

Sutherland distinguishes between "logic" and "psycho-logic." We are trained to solve problems rationally. If a train is slow, logic tells us to spend billions to make it faster. But Sutherland argues this is often an expensive trap. The "psychological moonshot" like installing Wi-Fi or improving the seats might cost a fraction of the price but make passengers much happier. The Uber map example he cited is perfect proof. The map didn't make the car arrive any faster; it simply reduced the pain of not knowing. It forces us to ask: Are we spending our resources solving technical problems that are just perception problems?

However, applying this "alchemy" isn't straightforward. There is a tension here regarding how much we should automate.

Take the famous "cake mix" example—adding an egg to make the user feel like a chef. This highlights a critical principle: we value what we help create. But how does this apply to the AI tools we are currently building? We are racing to create AI that does everything for the user. If we make the entire process completely effortless, do we risk stripping away the user's sense of control? Perhaps the most successful products won't be the ones that do the work for you, but the ones that make you feel brilliant while you do it.

Furthermore, there is an ethical line we must navigate. Sutherland calls it "magic"; a cynic might call it "manipulation." If we focus too much on changing how a product feels rather than how it works, are we crossing a line? The challenge for us is not to use psychology to hide flaws, but to use it to reveal value that pure logic overlooks.

Going forward, we should look at our projects through this dual lens. Instead of just asking "Is it efficient?", we should ask: "Where is the psychological value?" If we can master the engineering of code and the engineering of perception, we won't just build products that function. We will build products that resonate. Ultimately, magic only works if the underlying reality supports it.